
MERCEDES-BENZ GRAND PRIX LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

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MERCEDES-BENZ GRAND PRIX LIMITED

COMPANY INFORMATION

Directors

Rene Berger
Andrew Christopher Currie
Jonathan Frank Ginns
Markus Schäfer
Michael Schiebe
Toto Wolff

Registered number 00787446

Registered office

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Lauda Drive
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Independent auditors

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MERCEDES-BENZ GRAND PRIX LIMITED

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MERCEDES-BENZ GRAND PRIX LIMITED

GROUP STRATEGIC REPORT FOR THE YEAR ENDED 31 DECEMBER 2024

Principal Activities and Business review

The principal activity of the Group is to operate and manage the Mercedes-AMG PETRONAS F1 Team, which is an entrant in the FIA Formula One World Championship. This activity includes the design, development, manufacture, testing and racing of Formula One cars.

In 2024, the team finished P4 overall in the Constructors' Championship. Notwithstanding this result, the team made notable year-on-year progress in key performance metrics including overall reliability, points scored, and claiming four Grand Prix wins, five further podiums and four pole positions. 2024 was a close-fought season in which the top four teams won races; George Russell finished P6 in the drivers' championship with team-mate Lewis Hamilton, who completed his 13th and final season with the team in Abu Dhabi, in P7.

The close competition on track led to a more even distribution of television coverage. Our share of coverage grew to 15.2% for 2024, reflecting improved on-track competitiveness and higher number of podium finishes. In line with this increased coverage share, the cumulative Advertising Value Equivalent (AVE) grew for commercial partners and shareholders, reaching \$5.7 billion (+8%).

In terms of key business performance metrics, turnover grew by 16% to £636.0 million (2023: £546.5 million). This resulted primarily from higher commercial revenues from sponsorship and licensing, which accounted for over 60% of income in 2024. This strong commercial performance coupled with close control of the cost base, resulted in an annual EBIT of £160.6 million (2023: £113.8 million) and the team was confirmed to be in full compliance with the 2023 Financial Regulations, following the FIA audit process. The loss for the year made by Mercedes-Benz Grand Prix Estates Limited is reflected in the standalone statutory accounts and was caused by one-off expenditure relating to the development of the site.

Alongside racing activities, the Applied Science division continues to deliver bespoke engineering capability and services to a wide range of technology projects. The America's Cup 37 campaign with INEOS Britannia in Barcelona saw the team become the first British challenger to reach the America's Cup Match final since 1964. The team secured 2026 technology supply agreements with Williams F1 and Alpine Racing during the year.

The Group remains committed to leading the way in building a more sustainable and inclusive sport for the future. Further discussion can be found in the Group non-financial and sustainability information statement and in the Directors' Report.

Looking to the future, the Group announced the decision to promote Kimi Antonelli to the team from the 2025 season.

During the year the redevelopment of the Brackley campus began with major infrastructure works, prior to the planned construction of two new buildings in 2025 which will help to optimise operational efficiency. Likewise, in December 2024, the Group acquired Mercedes-Benz Motorsport Ltd from Mercedes-Benz UK Holdings Ltd to enable optimisation of the Group structure.

The Directors look forward to competing in the new season and a delivering a more performant and competitive championship campaign in the final year of the current regulations.

Stakeholder engagement

The directors are aware of their duty under s.172 of the Companies Act 2006 to act in the way they consider, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regards (amongst other matters) to:

- the likely consequences of any decision in the long term,
- the interests of the company's employees,
- the need to foster the company's business relationships with suppliers, customers and others,
- the impact of the company's operations on the community and the environment,

MERCEDES-BENZ GRAND PRIX LIMITED

GROUP STRATEGIC REPORT (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2024

- the desirability of the company maintaining a reputation for high standards of business conduct, and
- the need to act fairly as between members of the company

The directors' strategy is to pursue both the Drivers' and Constructors' Formula One Championships in a manner that best represents the Mercedes-Benz brand and the interests of other commercial partners and to provide its stakeholders with success in F1 at the best value for money.

The team's values of Passion, Respect, Innovation, Determination and Excellence are at the heart of all interactions with its stakeholders. Employee involvement is detailed within the Directors' report.

Principal risks and uncertainties

The management of the business and the execution of the Group's strategy are subject to several risks, which are reviewed by the board and appropriate processes put in place to monitor and mitigate them. The key business risks are as follows:

Competition

The Group operates in a highly competitive environment. This results in pressure to achieve not only the Group's targets for sporting performance but also revenue generation from sponsorship and the Commercial Rights Holder. This risk is mitigated by the recruitment and retention of highly talented and experienced personnel, maintaining design, development, production and race circuit facilities at the highest level within Formula One, securing the services of the best available race drivers and strong technical relationships with Mercedes-Benz, Petronas and other partners.

Interest and liquidity risk

The Group maintains a strong cash generation capability and the Group's liquidity is monitored closely via weekly cashflow projections and longer term cashflow planning to ensure that the Group can meet liabilities as they fall due. Shareholders are updated monthly on the current liquidity of the business and any deviations to forecast. During the year, the Group also extended access to a long-term Revolving Credit Facility, in order to cover this risk.

Credit risk

The Group's exposure to credit risk is primarily through its sponsorship contracts and it has implemented policies that require appropriate credit checks on potential sponsors during the negotiation of new contracts. Any specific risks are brought to the attention of management and are reassessed regularly.

Foreign exchange risk

The Group is exposed to movements in foreign exchange rates because of revenue receipts and operating costs in currencies other than sterling. These risks are monitored closely and reported on monthly.

Reputational Risk

Protecting the Group's brand and reputation remains a risk, recently the process has been reviewed with regard to new sponsors and partnerships to ensure the highest levels of reputation are maintained.

Financial Key Performance Indicators

The primary objective of the Group is to perform on track, with the aim of winning World Championships and to be financially successful in parallel. The financial performance of the Group is continuously monitored, and the most key performance indicators are Revenue, EBIT and Free Cashflow.

The most dominant metric is EBIT which was £160.6m for the year ended 2024 (2023: £113.8m)

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GROUP STRATEGIC REPORT (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2024

Future outlook

The future outlook for the Group is strong thanks to the robust health of Formula One and the Group's broad portfolio of partners. In the first two months of 2025, the team announced major partnerships with adidas, the global leader in the sporting goods industry, and Qiddiya, a planned tourism and entertainment megaproject in Riyadh, Saudi Arabia.

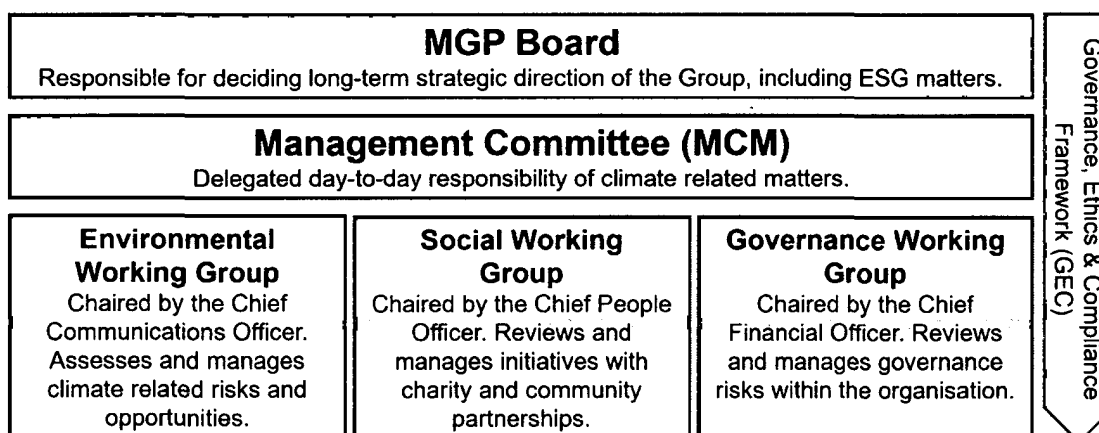
During 2025, the Group concluded negotiations with Formula One Management and the FIA for the next cycle of commercial and governance agreements, which will run from 2026 to 2030. The technical project for 2026 represents the biggest set of simultaneous rule changes in the sport's history, with brand-new chassis, power unit and fuel regulations. This project is the focus of close collaboration between the Group, Mercedes AMG High Performance Powertrains and our title and technical partner PETRONAS, with the shared goal to deliver the most performant project in the sport's new era.

The Group would like to thank its shareholders, Mercedes-Benz, Motorsports Invest and INEOS, our title and technical partner PETRONAS and all its partners for their continued steadfast support.

Group non-financial and sustainability information statement

The below climate-related financial disclosures cover how climate change is addressed in corporate governance, risk management, strategy and target setting.

Governance & Risk Management



The Board of Directors delegates day-to-day responsibility of the climate strategy to the MCM and receives updates on climate-related matters in the Board meetings held during the year. The updates to the Board include the review of the Group's carbon footprint, progress against emission and carbon targets, and the requirements to achieve these targets. The MCM has embedded in its strategic business plan a sustainability strategy to guide business decisions in the context of capturing climate-related opportunities and managing climate risk.

The Environmental, Social and Governance Working Groups are multidisciplinary teams of management representatives from different areas of MGP, including individuals from the Sustainability team. These Working Groups individually provide updates to the MCM as part of the standing agenda. These include updates on key previous and upcoming decisions, activities and outputs as well as key risks and opportunities for review.

The GEC framework includes commitments to climate protection and governance and all core policies are reviewed on an annual basis and updated at least every two years.

**GROUP STRATEGIC REPORT (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2024**

Identification, assessment and management of climate-related risks and opportunities

The Sustainability team manages day-to-day environmental risks in-line with the standards set out in the Group's ISO14001:2015 certified Environmental Management System. The Sustainability team assesses the Group's environmental aspects and impacts based on compliance obligations as well as relevant risks and opportunities. Key risks identified are communicated to the relevant department contacts, the EWG and MCM sponsors for action.

In 2023, climate-related transition risks were assessed qualitatively by the EWG based on stakeholder consultation and planned Group operations. External consultants were also engaged to assess current and future climate-related physical risks.

In 2024, the business undertook its first Double Materiality Assessment (DMA) to identify material impacts, risks and opportunities, which includes climate related risks. The scope for the DMA was set to align with the EFRAG guidelines.

Several material impacts were identified for the business across the Environmental, Social and Governance pillars. Ongoing tracking and management of the environmental related outputs from the DMA is carried out by the Environmental Working Group.

Description of how processes for identifying, assessing and managing climate related risks are integrated into the overall risk management process of the group in line with our Risk Management Policy

On an annual basis, the impacts, risks and opportunities (IROs) identified in the DMA will be reviewed internally by each Working Group to ensure that they remain relevant, capture internal and external factors which may affect these and to identify any new IROs. These would be assessed against the DMA thresholds to ascertain whether they are a material IRO.

Strategy

Environmental risks and opportunities, including those which are climate-related, have been assessed over the following horizons: short 1-2 years (to end 2025); medium 3-7 years (2026-2030); and long >7 years (2031-2040). These timeframes have been chosen to align with the Group's sustainability targets, financial planning and sporting regulations framework. The size and prioritisation of climate related risks identified in the DMA process has been reviewed by the EWG in 2024.

Climate-related risks and opportunities are classified as either physical or transition risks, and have been grouped into ESG matters. These risks and opportunities have been scored based on two criteria:

- Magnitude: the potential magnitude of financial effects in the short, medium and long-term.
- Likelihood: the likelihood of occurrence of the risk or opportunity during a defined time horizon.

Physical Risks:

No material climate-related physical risks or opportunities have been identified.

Borderline risks identified include the increased likelihood of extreme weather events causing local flooding or drought or the cancellation of Grand Prix events. The Group expects this to have an impact at Grand Prix events over all time horizons assessed and are liaising with Formula One to support calendar reviews.

Transition Risks and Opportunities

Material climate-related transition risks and opportunities have been identified.

GROUP STRATEGIC REPORT (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2024

**Risk: Climate change
adaption and resilience**

Risk to availability of sustainable solutions such as sustainable fuels and carbon removal credits due to increasing demand and limited supply. This is expected to have a short-medium term impact and the Group is incorporating measures to secure supplies.

**Risk: Cost of reducing
emissions**

Increased operational costs associated with solutions, such as REGO's, RGGO's and other initiatives to reduce and/or remove emissions, associated with Net Zero. This is expected to have a short-medium term impact and the Group is incorporating measures to secure supplies.

**Opportunity: Energy
management and
consumption**

Opportunity for energy cost and efficiency savings, through reducing usage and targeted energy action plans, over the short-medium term which may also bring opportunity to engage stakeholders through innovative low-carbon technologies.

The Group's resilience to these risks is monitored and managed through the implementation of the activities outlined to secure supplies.

The current business model and strategy appear resilient to physical climate risks under RCP 8.5 at the 50th percentile up until the 2040s based on the quantitative assessment performed in 2023. A further assessment of the Group's resilience will be undertaken in 2025.

Metrics and targets

Since 2010, the team has held an ISO14001:2015 accredited Environmental Management System, ensuring continual improvement of processes and procedures to reduce environmental impact.

In 2022, the Group set targets to achieve Net Zero by 2030, across emissions in its Race Team Control in line with Formula One targets.

In 2023 emissions from 2022 were re-stated, to reflect an improved understanding of the Group's inventory, including additional emissions categories.

Targets have been set to drive industry best practice and, where necessary, to respond to the climate-related risks identified by the business. The key climate targets ensure that the Group is addressing absolute emissions reductions across all three scopes to reduce greenhouse gas emissions. The targets have been set to respond to the need to act swiftly to reduce greenhouse gas emissions to limit climate impacts.

The targets also indirectly support the management of the transition risks identified by the business through delivering greater transparency on emissions reduction activities.

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GROUP STRATEGIC REPORT (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2024

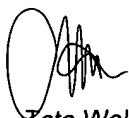
Target	Description	KPI	Target Date	2023 progress
Net Zero Scope 1 & 2 by 2026	100% reduction in Scope 1 & 2 emissions against a 2022 baseline – with any residual emissions to be compensated using carbon removals in line with the Oxford Offsetting Principles.	Absolute market-based Scope 1 & 2 CO ₂ e emissions per year in tonnes	2026	3% reduction in 2023 compared to 2022
Net Zero Scope 3 (Race Team Control) by 2030	75% reduction in Race Team Control Scope 3 emissions - with any residual emissions to be compensated using carbon removals in line with the Oxford Offsetting Principles.	Absolute Scope 3 CO ₂ e emissions per year in tonnes for the following categories: 1. Fuel & Energy Related Activities 2. Upstream transportation and distribution (with SAFc) 3. Waste generated in operations 4. Business travel (with SAFc) 5. Employee commuting	2030	10% reduction in 2023 compared to 2022
Climate Pledge Signatory	Net Zero across all Scopes by 2040, following a 1.5 degree aligned emissions reduction pathway.	Absolute Scope 1,2 & 3 emissions	2040	Target issued in 2024 therefore not applicable.

Performance against these targets in 2023, was reported in the Group's Annual Sustainability Report released in July 2024. The 2023 footprint underwent a limited level assurance in line with ISAE 3000 by an independent third party. Scope 3 data for 2024 will be reported in the Group's Annual Sustainability Report which is due to be released in 2025.

More detail on progress against Scope 1 & 2 targets for 2024, can be found in the SECR disclosures within the Directors' Report.

Selected aspects of the disclosures within the Group non-financial and sustainability information statement have been subject to limited assurance by KPMG LLP in accordance with ISAE (UK) 3000. The information which was subject to assurance is that which is underlined within the extract of our disclosures in Appendix 1 to KPMG LLP's assurance report available at <https://www.mercedesamgf1.com/sustainability/reports>

This report was approved by the board on and signed on its behalf.


Toto Wolff
Director

MERCEDES-BENZ GRAND PRIX LIMITED

DIRECTORS' REPORT FOR THE YEAR ENDED 31 DECEMBER 2024

The directors present their report and the financial statements for the year ended 31 December 2024.

Statement of directors' responsibilities in respect of the Strategic report, the Directors' report and the financial statements

The directors are responsible for preparing the Group Strategic Report, the Directors' Report and the Group and parent Company financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the Group and parent Company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and parent Company and of the Group's profit or loss for that period.

In preparing each of the Group and parent Company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgments and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standard have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent Company's transactions and disclose with reasonable accuracy at any time the financial position of the parent Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Dividends

The directors have proposed a final ordinary dividend in respect of the current financial year of £125.0m, of which a minimum of £75.0m is due to be paid by the end of March 2025 and any remainder will be paid in full by July 2025. The dividend comprises an element of previously undistributed earnings from prior years. This has not been included within creditors as it was not approved before the year-end.

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DIRECTORS' REPORT (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2024

Directors

The directors who served during the year and up to the date of signing were:

Rene Berger
Andrew Christopher Currie
Jonathan Frank Ginns
Markus Schäfer
Michael Schiebe
Toto Wolff

Political contributions

The Group made no political donations or incurred any political expenditure during the year (2023: £nil).

Research and development activities

The activities of the Group are primarily the design and development of a car to compete in the FIA Formula One World Championship, and additionally contract work through its Applied Science division. The directors consider the investment in research and development to be integral to the continued success of the Group.

Environmental policy and mandatory greenhouse gas emissions reporting

Targets

The Group continues to make progress towards its 2030 carbon emissions targets. For Scopes 1 & 2, the Group is targeting a 100% reduction of emissions, with any residual emissions to be compensated using carbon removals in line with the Oxford Offsetting Principles. We are also targeting a 75% reduction in Scope 3 emissions within Race Team Control (RTC) and compensation of the residual 25% using carbon removals.

These targets align to the Mercedes-Benz AG Ambition 2039 for carbon neutral vehicle production and Formula One's Factory to Flag emissions reporting.

Details of how these targets have been set are outlined in the Group Non-Financial and Sustainability Information Statement.

In 2024, the Group became a signatory of the Climate Pledge and is setting a 1.5-degree-aligned target to cover all Scope 3 emissions categories and support its ambition to meet Net Zero by 2040.

To deliver the RTC target, the Group has set out a reduction-first approach, with carbon avoidance certificates and removals being used to compensate residual emissions. The Group will continue to assess market trends and best practice when implementing reduction, removal and avoidance measures.

Energy targets and efficiency improvements are driven through the implementation of the ISO14001:2015 certified Environmental Management System (EMS).

Emissions

In 2024, the Group implemented a range of projects to reduce Scope 1 & 2 emissions.

Across the Brackley campus we continued to reduce energy emissions through the purchase of electricity supplies backed by Renewable Energy Guarantees of Origin (REGOs) and gas supplies backed by Renewable Gas Guarantees of Origin (RGGOs) which support the production of renewable energy.

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DIRECTORS' REPORT (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2024

To deliver energy efficiencies, the team has focused on facility upgrades and process improvements. These include: updating the cooling programmes in the data centre for more efficient cooling; installing heat capture systems within manufacturing areas, using waste heat to support hot water demands across the facility. This has reduced cooling demand within manufacturing areas and reduced reliance on energy for water heating.

Since 2023, 550 individual energy sub-meters have been installed. In 2024 an updated energy dashboard was rolled out to key departments, using information from these sub-meters, to improve energy efficiency. The Group will continue to use this data to identify savings. All of the work completed has resulted in a total energy reduction reduction per head of 18% between 2022 and 2024.

Gas supplies continue to be removed across our manufacturing, office and simulator facilities, reducing gas consumption by over 179,500 kWh within 2024 when compared to 2023. The phase-out of gas across Brackley will continue in 2025

To reduce overall fuel emissions, the business has transitioned most of its pool car vehicles towards Battery Electric Vehicles (BEV) alternatives and included HVO100 within onsite equipment. This saved 95 tCO₂e of Scope 1 fuel emissions compared to 2023. The remaining equipment will be assessed to ensure further reductions can be made when market offerings allow.

Improvements have also been made with increased usage of HVO100 biodiesel in the UK and European legs of the racing season. This included 100% coverage of HVO100 in the generators used across the garage and motorhome, avoiding 61 tCO₂e when compared to the emissions of fossil-based diesel fuel.

Separately, there was an increase in fugitive emissions compared to 2023. As a result, cumulative Scope 1 emissions in 2024 increased compared to 2023, notwithstanding activities to reduce energy consumption and fuel emissions in other areas of Scope 1. A single system fault resulted in a substantial fugitive gas (F-Gas) leak which drove the majority of this increase. Work is ongoing to reduce the risk of a repeat event in future.

The impact of these measures can be seen in the Emissions Overview table.

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DIRECTORS' REPORT (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2024

Emissions Overview

SECR Inventory	2024	2023	Comparison
Energy consumption used to calculate emissions (kWh)	19,173,509*	19,336,818	-0.8%

SECR Inventory Location Based	2024	2023	Comparison
Scope 1 - mobile & stationary combustion (tCO ₂ e)	337*	465	-28%
Scope 1 – fugitive emissions (tCO ₂ e)	176*	55	+220%
Scope 2 - purchased electricity emissions (tCO ₂ e)	3,558*	3,521	+1.1%
Total gross (tCO₂e)	4,071*	4,041	+0.8%
Intensity ratio: tCO ₂ e gross per average number of employees	3.08*	3.11	-1%

SECR Inventory Market Based	2024	2023	Comparison
Scope 1 - mobile & stationary combustion (tCO ₂ e)	207*	300	-31%
Scope 1 – fugitive emissions (tCO ₂ e)	176*	55	+220%
Scope 2 - purchased electricity emissions (tCO ₂ e)	0.5*	0	N/A
Total gross tCO₂e	384*	355	+8%
Intensity ratio: tCO ₂ e gross per average number of employees	0.28*	0.29	+4%

*This metric was subject to external independent limited assurance in line with ISAE (UK) 3000 and ISAE 3410.

For the results of that assurance and the basis of reporting, see the full report at <https://www.mercedesamgf1.com/sustainability/reports>

Comparison

To accurately compare the impact of emissions reduction activities in 2024 to previous years, Market and Location-based Scope 1 emissions are now split into two categories: mobile and stationary combustion, and fugitive emissions. This update has been applied to 2023 emissions to allow for accurate comparison.

Overall, Scope 1 Location-based emissions reduced by 7 tCO₂e (-1%) when compared to 2023. This reduction was from the gas removal projects across the site, leading to a 33 tCO₂e (-19%) reduction. The transition of business vehicles towards BEV brought a 48 tCO₂e reduction in travel-related emissions. The transfer was phased through the year, meaning full reductions will be realised in 2025. A larger reduction in overall Location-based Scope 1 emissions was not realised owing to an increase in F-Gas emission leaks of 121 tCO₂e.

Overall, Scope 1 Market-based emissions increased by 28 tCO₂e. Scope 2 emissions are composed of electricity consumption for both site operations and electric vehicle charging. In 2024 there was an increase in

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DIRECTORS' REPORT (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2024

Location-based Scope 2 emissions due to offsite BEV charging and the switch of some gas-powered equipment to electric sources. This change resulted in a 37 tCO₂e (+1.1%) increase in Location-based Scope 2 emissions. Market-based Scope 2 emissions have increased by 0.5 tCO₂e, because of offsite BEV charging.

Looking at overall fuel and energy consumption, combined usage has reduced by 163,308 kWh. This highlights the efficiency increase enabled by the transition from carbon-intensive fuels towards more sustainable options such as electricity or biofuels. The location-based intensity metric shows a 1% reduction in the 2024 intensity ratio compared to 2023.

Methodology

Scope 1 & 2 consumption data has been calculated in accordance with the GHG Protocol's methodology for operational control location and market-based approaches. In addition to reporting stationary combustion in line with the GHG protocol categories, the use of an alternative reporting method for Scope 1 allows the presentation of both a market and location-based footprint from the site's gas supply, backed by RGOs. The conversion calculations from kWh to tCO₂e were completed using internal consumption data from invoices and meter readings. These conversions were completed using the 2024 UK Government GHG Conversion Factors for Company Reporting with the appropriate gross calorific value (CV) conversion value for the reporting year (01/01/2024 – 31/12/2024).

The intensity ratio has been calculated using the average number of employees within 2024. The final value was calculated by dividing the total tCO₂e by the average employee numbers in 2024.

Engagement with employees

The Group remains committed to employee engagement through feedback initiatives, regular communications, and team cohesion activities that strengthen company culture. A significant investment in a new campus emphasises the commitment to attracting and retaining top talent while enhancing the employee experience.

We continue to drive an inclusive, high-performance culture and to invest in our people's development to ensure long term sustainable success.

Collaborations with key partners such as Mulberry Schools Trust, AFBE, Stemettes, and the Sutton Trust help build STEM career awareness and inspire the next generation of talent to consider careers in Formula One and Mercedes. The Group have welcomed over 300 STEM students to the factory, hosted career events, and offered numerous work experience placements. Additionally, new scholarships, including with Imperial College London and via Zero Gravity, support diverse students' access to STEM higher education.

Disclosure of information to auditors

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the group's auditors are unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the group's auditors are aware of that information.

MERCEDES-BENZ GRAND PRIX LIMITED

**DIRECTORS' REPORT (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2024**

Auditors

The auditors, KPMG LLP, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board on 24th March 2025 and signed on its behalf.



Toto Wolff
Director

MERCEDES-BENZ GRAND PRIX LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MERCEDES-BENZ GRAND PRIX LIMITED

Opinion

We have audited the financial statements of Mercedes-Benz Grand Prix Limited ("the Company") for the year ended 31 December 2024 which comprise the Consolidated Profit and Loss Account and Other Comprehensive Income, Consolidated Balance Sheet, Company Balance Sheet, Consolidated Statement of Changes in Equity, Company Statement of Changes in Equity, Consolidated Statement of Cash Flows and related notes, including the accounting policies in Note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the parent Company's affairs as at 31 December 2024 and of the Group's profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Group or the Company or to cease their operations, and as they have concluded that the Group and the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Group's business model and analysed how those risks might affect the Group and Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group or the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk

MERCEDES-BENZ GRAND PRIX LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MERCEDES-BENZ GRAND PRIX LIMITED

assessment procedures included:

- Enquiring of directors and inspection of policy documentation as to the Group's high-level policies and procedures to prevent and detect fraud, including the Group's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board meeting minutes.
- Considering remuneration incentive schemes and performance targets for management, directors and sales staff.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressure to meet performance targets and our overall knowledge of the control environment, we perform procedures to address the risk of management override of controls, in particular the risk that Group management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because of the nature of the revenue transactions of the Group which have limited judgmental aspects in relation to revenue recognition.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included revenue and cash journals posted to unusual accounts and journals with narrative explanations containing specific words.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience and through discussion with the directors and other management (as required by auditing standards) and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Group is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation or the loss of Group's license to operate. We identified the following areas as those most likely to have such an effect: FIA sporting, technical and financial regulations, anti-bribery, health and safety, employment law and data protection laws recognising the nature of the Group's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

MERCEDES-BENZ GRAND PRIX LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MERCEDES-BENZ GRAND PRIX LIMITED

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 7, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

MERCEDES-BENZ GRAND PRIX LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MERCEDES-BENZ GRAND PRIX LIMITED

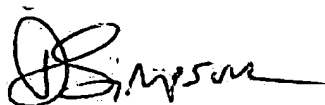
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



David Simpson (Senior statutory auditor)

for and on behalf of

KPMG LLP, Statutory Auditor
Chartered Accountants

Challenge House
Sherwood Drive
Bletchley
Milton Keynes
MK3 6DP

Date: 27 March 2025

MERCEDES-BENZ GRAND PRIX LIMITED

**PROFIT AND LOSS ACCOUNT AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2024**

	Note	2024 £000	2023 £000
Turnover	2	636,025	546,450
Cost of sales		(448,793)	(413,671)
Gross profit		<u>187,232</u>	<u>132,779</u>
Administrative expenses		(26,592)	(18,993)
Operating profit	3	<u>160,640</u>	<u>113,786</u>
Interest receivable and similar income	7	2,406	2,472
Interest payable and similar expenses	8	-	(428)
Profit before tax		<u>163,046</u>	<u>115,830</u>
Tax on profit	9	(42,702)	(31,984)
Profit for the financial year		<u><u>120,344</u></u>	<u><u>83,846</u></u>
Other comprehensive income for the year			
Realised utilisation of revaluation reserve		-	(10)
Other comprehensive income for the year		<u>-</u>	<u>(10)</u>
Total comprehensive income for the year		<u><u>120,344</u></u>	<u><u>83,836</u></u>
Profit for the year attributable to:			
Owners of the parent company		(120,344)	(83,846)
		<u><u>(120,344)</u></u>	<u><u>(83,846)</u></u>

The notes on pages 26 to 55 form part of these financial statements.

MERCEDES-BENZ GRAND PRIX LIMITED
REGISTERED NUMBER: 00787446

CONSOLIDATED BALANCE SHEET
AS AT 31 DECEMBER 2024

	Note	2024 £000	2023 £000
Fixed assets			
Intangible assets	11	1,423	1,108
Tangible assets	12	114,372	108,473
Heritage assets	13	6,559	6,542
		<u>122,354</u>	<u>116,123</u>
Current assets			
Race car development		54,344	52,226
Stocks	16	4,922	4,909
Debtors: amounts falling due after more than one year	17	2,371	-
Debtors: amounts falling due within one year	17	185,986	219,910
Cash at bank and in hand	18	52,613	23,719
		<u>300,236</u>	<u>300,764</u>
Creditors: amounts falling due within one year	19	(206,928)	(223,185)
Net current assets		<u>93,308</u>	<u>77,579</u>
Total assets less current liabilities		<u>215,662</u>	<u>193,702</u>
Provisions for liabilities			
Deferred tax	21	(6,175)	(6,207)
Provisions	22	(2,997)	(4,002)
		<u>(9,172)</u>	<u>(10,209)</u>
Net assets		<u><u>206,490</u></u>	<u><u>183,493</u></u>
Capital and reserves			
Called up share capital	23	70,012	70,000
Share premium account	24	2,415	44
Revaluation reserve	24	80	80
Other reserves	24	270	-
Profit and loss account	24	133,713	113,369
		<u><u>206,490</u></u>	<u><u>183,493</u></u>

MERCEDES-BENZ GRAND PRIX LIMITED
REGISTERED NUMBER: 00787446

CONSOLIDATED BALANCE SHEET (CONTINUED)
AS AT 31 DECEMBER 2024

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 24th March 2025



Toto Wolff
Director

The notes on pages 26 to 55 form part of these financial statements.

MERCEDES-BENZ GRAND PRIX LIMITED
REGISTERED NUMBER: 00787446

COMPANY BALANCE SHEET
AS AT 31 DECEMBER 2024

	Note	2024 £000	2023 £000
Fixed assets			
Intangible assets	11	1,401	1,108
Tangible assets	12	72,572	68,501
Heritage assets	13	6,559	6,542
Investments	14	19,800	17,400
		100,332	93,551
Current assets			
Race car development		54,344	52,226
Stocks	16	4,922	4,909
Debtors: amounts falling due after more than one year	17	22,976	17,827
Debtors: amounts falling due within one year	17	189,864	224,649
Cash at bank and in hand	18	51,838	22,789
		323,944	322,400
Creditors: amounts falling due within one year	19	(207,034)	(222,598)
Net current assets		116,910	99,802
Total assets less current liabilities		217,242	193,353
Provisions for liabilities			
Deferred taxation	21	(6,146)	(6,207)
Other provisions	22	(2,997)	(4,002)
		(9,143)	(10,209)
Net assets		208,099	183,144
Capital and reserves			
Called up share capital	23	70,012	70,000
Share premium account	24	2,415	44
Revaluation reserve	24	80	80
Other reserves	24	270	-
Profit and loss account carried forward		135,322	113,020
		208,099	183,144

MERCEDES-BENZ GRAND PRIX LIMITED
REGISTERED NUMBER: 00787446

COMPANY BALANCE SHEET (CONTINUED)
AS AT 31 DECEMBER 2024

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 24th March 2025



Toto Wolff
Director

The notes on pages 26 to 55 form part of these financial statements.

MERCEDES-BENZ GRAND PRIX LIMITED

**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2024**

	Called up share capital £000	Share premium account £000	Revaluation reserve £000	Other reserves £000	Profit and loss account £000	Total equity £000
At 1 January 2023	70,000	44	90	-	104,523	174,657
Comprehensive income for the year						
Profit for the year	-	-	-	-	83,846	83,846
Revaluation reserve	-	-	(10)	-	-	(10)
Total comprehensive income for the year	-	-	(10)	-	83,846	83,836
Contributions by and distributions to owners						
Dividends: Equity capital	-	-	-	-	(75,000)	(75,000)
At 1 January 2024	70,000	44	80	-	113,369	183,493
Comprehensive income for the year						
Profit for the year	-	-	-	-	120,344	120,344
Total comprehensive income for the year	-	-	-	-	120,344	120,344
Contributions by and distributions to owners						
Dividends: Equity capital	-	-	-	-	(100,000)	(100,000)
Shares issued during the year	12	2,371	-	-	-	2,383
Other reserves movement	-	-	-	270	-	270
Total transactions with owners	12	2,371	-	270	(100,000)	(97,347)
At 31 December 2024	70,012	2,415	80	270	133,713	206,490

The notes on pages 26 to 55 form part of these financial statements.

MERCEDES-BENZ GRAND PRIX LIMITED

**COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2024**

	Called up share capital £000	Share premium account £000	Revaluation reserve £000	Other reserves £000	Profit and loss account £000	Total equity £000
At 1 January 2023	70,000	44	90	-	104,435	174,569
Comprehensive income for the year						
Profit for the year	-	-	-	-	83,585	83,585
Revaluation reserve	-	-	(10)	-	-	(10)
Total comprehensive income for the year	-	-	(10)	-	83,585	83,575
Contributions by and distributions to owners						
Dividends: Equity capital	-	-	-	-	(75,000)	(75,000)
At 1 January 2024	70,000	44	80	-	113,020	183,144
Comprehensive income for the year						
Profit for the year	-	-	-	-	122,302	122,302
Total comprehensive income for the year	-	-	-	-	122,302	122,302
Contributions by and distributions to owners						
Dividends: Equity capital	-	-	-	-	(100,000)	(100,000)
Shares issued during the year	12	2,371	-	-	-	2,383
Other reserves movement	-	-	-	270	-	270
Total transactions with owners	12	2,371	-	270	(100,000)	(97,347)
At 31 December 2024	70,012	2,415	80	270	135,322	208,099

The notes on pages 26 to 55 form part of these financial statements.

MERCEDES-BENZ GRAND PRIX LIMITED

**CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2024**

	2024	2023
	£000	£000
Cash flows from operating activities		
Profit for the financial year	120,344	83,846
Adjustments for:		
Amortisation of intangible assets	751	791
Depreciation of tangible assets	17,920	20,635
Loss on disposal of tangible assets	1,480	80
Interest received	2,305	2,362
Taxation charge	42,702	31,984
(Increase) in stocks and race car development	(2,131)	(11,647)
Decrease/(increase) in debtors	15,155	(123,163)
(Decrease)/increase in creditors	(22,409)	64,596
(Decrease) in provisions	(1,005)	(1,358)
Corporation tax (paid)	(15,852)	(265)
Net interest income	(2,406)	(2,044)
LTIP expense	270	-
LTIP proceeds	12	-
Net cash generated from operating activities	157,136	65,817

MERCEDES-BENZ GRAND PRIX LIMITED

**CONSOLIDATED STATEMENT OF CASH FLOWS (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2024**

	2024	2023
	£000	£000
Cash flows from investing activities		
Purchase of intangible fixed assets	(1,052)	(659)
Purchase of tangible fixed assets	(26,232)	(19,654)
Sale of tangible fixed assets	925	773
Purchase of subsidiary net of cash acquired	(1,707)	-
Net cash from investing activities	(28,066)	(19,540)
Cash flows from financing activities		
Repayment of other loans	-	(11,000)
Dividends paid	(100,000)	(75,000)
Interest paid	(176)	(586)
Net cash used in financing activities	(100,176)	(86,586)
Net increase/(decrease) in cash and cash equivalents	28,894	(40,309)
Cash and cash equivalents at beginning of year	23,719	64,028
Cash and cash equivalents at the end of year	52,613	23,719
Cash and cash equivalents at the end of year comprise:		
Cash at bank and in hand	52,613	23,719
	52,613	23,719

The notes on pages 26 to 55 form part of these financial statements.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies

1.1 Basis of preparation of financial statements

Mercedes-Benz Grand Prix Limited (the "Company") is a private Company incorporated, domiciled and registered in England in the UK. The registered number is 00787446 and the registered address is Operations Centre, Brackley, Northamptonshire, NN13 7BD.

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgment in applying the Group's accounting policies.

The Company has taken advantage of the exemption allowed under section 408 of the Companies Act 2006 and has not presented its own Statement of Comprehensive Income in these financial statements.

The following principal accounting policies have been applied:

1.2 Basis of consolidation

The consolidated financial statements present the results of the Company and its own subsidiaries ("the Group") as if they form a single entity. Intercompany transactions and balances between group companies are therefore eliminated in full.

The consolidated financial statements incorporate the results of business combinations using the purchase method. In the Balance Sheet, the acquiree's identifiable assets, liabilities and contingent liabilities are initially recognised at their fair values at the acquisition date. The results of acquired operations are included in the Consolidated Statement of Comprehensive Income from the date on which control is obtained. They are deconsolidated from the date control ceases.

In accordance with the transitional exemption available in FRS 102, the Group has chosen not to retrospectively apply the standard to business combinations that occurred before the date of transition to FRS 102, being 01 January 2015.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies (continued)

1.3 Going concern

The financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

The principal activity of the Group and the Company is the design, development, manufacture, testing and racing of Formula One cars. The Group and Company's cash flows are therefore dependent on the continuation of those operations.

The directors have prepared cashflow forecasts and performed a going concern assessment which indicates that, in both the base and reasonably possible downside scenario, which excludes revenue agreements not yet signed, the Group and Company will have sufficient funds to meet their liabilities as they fall due during the 12 month period ending 31 March 2026, the going concern assessment period. In both the base and reasonably possible downside scenario, the revolving credit facility disclosed in Note 20 is forecast to remain undrawn.

Consequently, the directors are confident that the Group and Company will have sufficient funds to continue to meet their liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

1.4 Foreign currency translation

Functional and presentation currency

The Group's functional currency and presentational currency is GBP. All amounts in the financial statements have been rounded to the nearest £1,000.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies (continued)

1.5 Revenue

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Revenue is measured as the fair value of the consideration received or receivable, excluding discounts, rebates, value added tax and other sales taxes.

The Company principally earns revenue through sponsorship income, prize money, sale of goods and rendering of services. Revenue in relation to sponsorship deals where there are a number of deliverables, is recognised by attributing the revenue to each deliverable by considering their individual standalone value and the overall value of contractual sponsorship income for a specific sponsor. The revenue is then recognised once we are satisfied the relevant recognition criteria has been met.

Where sponsorship deals are satisfied in payment other than cash, revenue is recognised on the fair value of the goods or services received. Prize money is received in relation to performance in the FIA Formula One World Championships and is based on reliable estimates of the expected prize money available.

If no reliable measurement can be made for any revenue estimates, the revenue is not recognised.

1.6 Operating leases: the Group as lessor

Rental income from operating leases is credited to profit or loss on a straight-line basis over the lease term.

Amounts paid and payable as an incentive to sign an operating lease are recognised as a reduction to income over the lease term on a straight-line basis, unless another systematic basis is representative of the time pattern over which the lessor's benefit from the leased asset is diminished.

1.7 Operating leases: the Group as lessee

Rentals paid under operating leases are charged to profit or loss on a straight-line basis over the lease term.

Benefits received and receivable as an incentive to sign an operating lease are recognised on a straight-line basis over the lease term, unless another systematic basis is representative of the time pattern of the lessee's benefit from the use of the leased asset.

1.8 Interest income

Interest income is recognised in profit or loss using the effective interest method.

1.9 Borrowing costs

Borrowing costs are recognised over the term of the facility.

1.10 Pensions

Defined contribution pension plan

The Group operates a defined contribution plan for its employees. A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity. Once the

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies (continued)

1.10 Pensions (continued)

contributions have been paid the Group has no further payment obligations.

The contributions are recognised as an expense in profit or loss when they fall due. Amounts not paid are shown in accruals as a liability in the Balance Sheet. The assets of the plan are held separately from the Group in independently administered funds.

1.11 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in profit or loss except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the balance sheet date in the countries where the Company and the Group operate and generate income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the balance sheet date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits;
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met; and
- Where they relate to timing differences in respect of interests in subsidiaries, associates, branches and joint ventures and the Group can control the reversal of the timing differences and such reversal is not considered probable in the foreseeable future.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies (continued)

1.12 Intangible assets

Goodwill

Goodwill represents the difference between amounts paid on the cost of a business combination and the acquirer's interest in the fair value of the Group's share of its identifiable assets and liabilities of the acquiree at the date of acquisition. Subsequent to initial recognition, goodwill is measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is amortised on a straight-line basis to the Consolidated Statement of Comprehensive Income over its useful economic life.

Other intangible assets

Intangible assets are initially recognised at cost. After recognition, under the cost model, intangible assets are measured at cost less any accumulated amortisation and any accumulated impairment losses.

All intangible assets are considered to have a finite useful life. If a reliable estimate of the useful life cannot be made, the useful life shall not exceed ten years.

The historical cost of intangible assets such as software licenses includes expenditure that is directly attributable to preparing the asset for its intended use.

Intangible assets are amortised over the useful life of the asset. Software licenses are amortised on a straight-line basis over their useful lives which range from 3 to 5 years.

Intangible assets also include internal labour spent on capital expenditure projects. These are then amortised over the useful life of the associated software.

1.13 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies (continued)

1.13 Tangible fixed assets (continued)

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Freehold buildings	- 2%
Leasehold land and buildings	- 5% - 20 %
Plant and machinery	- 10% - 40%
Motor vehicles	- 10% - 20%
Fixtures and fittings	- 10% - 50%
Computer equipment	- 10% - 50%

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in profit or loss.

Included within long-term leasehold property in note 12 is £1,592k (2023: £1,593k) of leasehold improvements cost.

Tangible assets also include internal labour spent on capital expenditure projects. These are then amortised over the useful life of the asset.

1.14 Impairment of fixed assets

Assets that are subject to depreciation or amortisation are assessed at each balance sheet date to determine whether there is any indication that the assets are impaired. Where there is any indication that an asset may be impaired, the carrying value of the asset (or cash-generating unit to which the asset has been allocated) is tested for impairment. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's (or CGU's) fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (CGUs). Non-financial assets that have been previously impaired are reviewed at each balance sheet date to assess whether there is any indication that the impairment losses recognised in prior periods may no longer exist or may have decreased.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies (continued)

1.15 Heritage Assets

The company's collection of historic cars and related assets are stated at historic purchase cost less a provision to recoverable amount.

The historic cars and related assets have an indefinite life and therefore are not depreciated.

The company maintains its collection of heritage assets to an excellent condition and any maintenance costs are charged to the profit and loss account when incurred. Subject to management approval the company may dispose of any heritage assets from the collection.

Assets are valued by independent valuers in their first year of recognition as a heritage asset and every 5 years subsequent. The directors value the remaining portfolio every year. The last external valuation for all existing assets was carried out on 13 September 2022 and the valuation of all newly recognised assets was conducted on the basis of recent valuations of equivalent assets.

1.16 Race Car Development Assets

Race car development assets include capitalised design costs for the development of cars to be utilised in the following racing season. They also include work in progress and finished stock items to be used on cars for the following racing season.

1.17 Stocks

Stocks are stated at the lower of cost and net realisable value. A provision is made against any raw materials and finished goods that are not expected to be utilised in relation to the following year's car.

1.18 Provisions for liabilities

Provisions are recognised when an event has taken place that gives rise to a legal or constructive obligation, a transfer of economic benefits is probable and a reliable estimate can be made.

Provisions are measured as the best estimate of the amount required to settle the obligation, taking into account the related risks and uncertainties.

Increases in provisions are generally charged as an expense to profit or loss.

1.19 Financial instruments

Basic financial assets

Basic financial assets, which include trade and other debtors, cash and bank balances, are initially measured at their transaction price (adjusted for transaction costs except in the initial measurement of financial assets that are subsequently measured at fair value through profit and loss) and are subsequently carried at their amortised cost using the effective interest method, less any provision for impairment, unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest.

Discounting is omitted where the effect of discounting is immaterial. The Group's cash and cash

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Accounting policies (continued)

1.19 Financial instruments (continued)

equivalents, trade and most other debtors due with the operating cycle fall into this category of financial instruments.

The Group only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, loans from banks and other third parties, loans to related parties and investments in ordinary shares.

Financial assets and liabilities are offset and the net amount reported in the Balance Sheet when there is an enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

1.20 Dividends

Equity dividends are recognised when they become legally payable. Interim equity dividends are recognised when paid. Final equity dividends are recognised when approved by the shareholders at an annual general meeting.

1.21 Share-based payments

The Group have equity-settled share incentive schemes. The fair value of the share options granted is measured at the grant date using the Black-Scholes model.

The fair value of the estimated number of options expected to vest is expensed to the income statements on a straight-line basis over the vesting period. The schemes include non-market performance criteria and the anticipated achievement of these is reflected in the expense recognised.

2. Turnover

An analysis of turnover by class of business is as follows:

	2024 £000	2023 £000
Rendering of services	551,541	494,810
Sale of goods	84,484	51,640
	<u>636,025</u>	<u>546,450</u>

Turnover represents Sponsorships, Prize Money, Applied Science income and other income relating to the Group's principal activity.

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

3. Operating profit

The Group operating profit is stated after charging/(crediting):

	2024	2023
	£000	£000
Research & Development charged as an expense	127,094	115,488
Exchange differences	(296)	1,229
Other operating lease rentals	18,597	17,271
Depreciation of tangible and intangible fixed assets	18,671	21,426
Loss on disposal of fixed assets	1,480	80
	<u>165,546</u>	<u>165,494</u>

4. Auditors' remuneration

During the year, the Group obtained the following services from the Company's auditors and their associates:

	2024	2023
	£000	£000
Fees payable to the Company's auditors and their associates for the audit of the consolidated and parent Company's financial statements	191	118
Fees payable to the Company's auditors and their associates in respect of:		
The auditing of accounts of subsidiaries of the Company	27	17
All assurance services not included above	156	111
	<u>184</u>	<u>246</u>

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

5. Employees

Staff costs, including directors' remuneration, were as follows:

	Group 2024 £000	Group 2023 £000	Company 2024 £000	Company 2023 £000
Wages and salaries	109,903	111,751	109,903	111,751
Social security costs	12,892	13,104	12,892	13,104
Cost of defined contribution scheme	2,216	2,113	2,216	2,113
	<u>125,011</u>	<u>126,968</u>	<u>125,011</u>	<u>126,968</u>

The average monthly number of employees, including the directors, during the year was as follows:

	Group 2024 No.	Group 2023 No.	Company 2024 No.	Company 2023 No.
Design, manufacturing and engineering	1,020	957	1,020	957
Administration	303	332	303	332
	<u>1,323</u>	<u>1,289</u>	<u>1,323</u>	<u>1,289</u>

6. Directors' remuneration

	2024 £000	2023 £000
Directors' emoluments	4,462	6,060
	<u>4,462</u>	<u>6,060</u>

The highest paid director received remuneration of £4,462k (2023 - £6,060k).

The value of the Group's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £1k (2023 - £1k).

The remaining Board members are employed and remunerated by other shareholding entities. The Group considers that there is no practicable method to accurately allocate a portion of the emoluments the Directors receive from their respective entities to the qualifying services they provide to the Group and the Group is also of the opinion any allocation would be immaterial. Therefore the above disclosures exclude any allocation of remuneration to the Group in respect of these directors.

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

7. Interest receivable

	2024 £000	2023 £000
Other interest receivable	2,406	2,472
	<u>2,406</u>	<u>2,472</u>

8. Interest payable and similar expenses

	2024 £000	2023 £000
Other loan interest payable	-	428
	<u>-</u>	<u>428</u>

9. Taxation

	2024 £000	2023 £000
Corporation tax		
Current tax on profits for the year	42,686	31,597
Adjustments in respect of previous periods	(16)	942
	<u>42,670</u>	<u>32,539</u>
Total current tax	<u>42,670</u>	<u>32,539</u>
Deferred tax		
Origination and reversal of timing differences	(1,306)	(522)
Effect of changes in tax rates	1,338	(33)
	<u>32</u>	<u>(555)</u>
Taxation on profit on ordinary activities	<u>42,702</u>	<u>31,984</u>

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

9. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year is higher than (2023 - *higher than*) the standard rate of corporation tax in the UK of 25% (2023 - 23.52%). The differences are explained below:

	2024 £000	2023 £000
Profit on ordinary activities before tax	163,046	115,830
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 25% (2023 - 23.52%)	40,761	27,243
Effects of:		
Expenses not deductible for tax purposes	4,100	4,062
Capital allowances for year in excess of depreciation	625	553
Adjustments to tax charge in respect of prior periods	(16)	942
Adjustment in research and development tax credit leading to an increase (decrease) in the tax charge	651	(376)
Remeasurement of deferred tax for changes in tax rates	-	(32)
Other differences leading to an increase (decrease) in the tax charge	(3,419)	(408)
Total tax charge for the year	42,702	31,984

Factors that may affect future tax charges

There were no factors that may affect future tax charges.

10. Dividends

	2024 £000	2023 £000
Dividends	100,000	75,000
	100,000	75,000

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

11. Intangible assets

Group

	Computer software £000	Goodwill £000	Total £000
Cost			
At 1 January 2024	2,673	-	2,673
Additions	1,052	22	1,074
Disposals	(19)	-	(19)
At 31 December 2024	<u>3,706</u>	<u>22</u>	<u>3,728</u>
Amortisation			
At 1 January 2024	1,565	-	1,565
Charge for the year on owned assets	751	-	751
On disposals	(11)	-	(11)
At 31 December 2024	<u>2,305</u>	<u>-</u>	<u>2,305</u>
Net book value			
At 31 December 2024	<u>1,401</u>	<u>22</u>	<u>1,423</u>
At 31 December 2023	<u>1,108</u>	<u>-</u>	<u>1,108</u>

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

11. Intangible assets (continued)

Company

	Computer software £000
Cost	
At 1 January 2024	2,673
Additions	1,052
Disposals	(19)
At 31 December 2024	<u>3,706</u>
Amortisation	
At 1 January 2024	1,565
Charge for the year	751
On disposals	(11)
At 31 December 2024	<u>2,305</u>
Net book value	
At 31 December 2024	<u>1,401</u>
At 31 December 2023	<u>1,108</u>

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

12. Tangible fixed assets

Group

	Freehold property £000	Long-term leasehold property £000	Plant and machinery £000	Motor vehicles £000	Fixtures and fittings £000	Computer equipment £000	Assets under construction £000	Total £000
Cost or valuation								
At 1 January 2024	37,406	53,204	106,893	3,767	24,897	43,353	6,678	276,198
Additions	-	-	-	-	-	-	25,813	25,813
Disposals	(1,616)	(603)	(2,440)	(23)	(355)	(54)	(279)	(5,370)
Transfers between classes	2,683	3,693	10,503	359	1,580	4,403	(23,221)	-
At 31 December 2024	38,473	56,294	114,956	4,103	26,122	47,702	8,991	296,641
Depreciation								
At 1 January 2024	880	32,864	78,613	3,520	12,749	39,099	-	167,725
Charge for the year on owned assets	503	2,197	9,060	134	2,843	3,183	-	17,920
Disposals	(37)	(543)	(2,394)	(23)	(335)	(44)	-	(3,376)
At 31 December 2024	1,346	34,518	85,279	3,631	15,257	42,238	-	182,269
Net book value								
At 31 December 2024	37,127	21,776	29,677	472	10,865	5,464	8,991	114,372
At 31 December 2023	36,526	20,340	28,280	247	12,148	4,254	6,678	108,473

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

Company

	Long-term leasehold property £000	Plant and machinery £000	Motor vehicles £000	Fixtures and fittings £000	Computer equipment £000	Assets under construction £000	Total £000
Cost or valuation							
At 1 January 2024	51,611	106,777	3,767	24,897	43,353	4,718	235,123
Additions	-	-	-	-	-	21,265	21,265
Disposals	(563)	(2,440)	(23)	(355)	(54)	-	(3,435)
Transfers between classes	3,693	10,503	359	1,580	4,403	(20,538)	-
At 31 December 2024	54,741	114,840	4,103	26,122	47,702	5,445	252,953
Depreciation							
At 1 January 2024	32,757	78,497	3,520	12,749	39,099	-	166,622
Charge for the year on owned assets	1,878	9,060	134	2,843	3,183	-	17,098
Disposals	(543)	(2,394)	(23)	(335)	(44)	-	(3,339)
At 31 December 2024	34,092	85,163	3,631	15,257	42,238	-	180,381
Net book value							
At 31 December 2024	20,649	29,677	472	10,865	5,464	5,445	72,572
At 31 December 2023	18,854	28,280	247	12,148	4,254	4,718	68,501

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

13. Heritage assets

Group

	Historic cars and related assets £000
Cost and net book value	
At 1 January 2024	6,542
Additions	421
Disposals	(404)
At 31 December 2024	<u>6,559</u>

Company

	Historic cars and related assets £000
Cost or valuation	
At 1 January 2024	6,542
Additions	421
Disposals	(404)
At 31 December 2024	<u>6,559</u>

Five year financial summary of heritage asset transactions:

	2024 £000	2023 £000	2022 £000	2021 £000	2020 £000
Additions	421	1,111	1,228	1,187	845
Disposals - net book value	(404)	(890)	(1,102)	-	(831)
Profit / (loss) on disposal	(50)	75	-	-	103
Gain on revaluation	-	-	90	-	-

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

14. Investments**Group**

There are no investments held from a Group perspective.

Company

	Investments in subsidiary companies £000
Valuation	
At 1 January 2024	17,400
Additions at cost	2,400
At 31 December 2024	19,800

The Company has the following investments in subsidiaries:

Name	Registered office	Nature of Business	Class of shares held	Ownership	
Mercedes-Benz Grand Prix Estates Limited	Operations Centre, Lauda Drive, Brackley, NN13 7BD	Commercial Landlord	Ordinary	100	%
Mercedes-Benz Motorsport Limited	Operations Centre, Lauda Drive, Brackley, NN13 7BD	Business support service activities	Ordinary	100	%

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

15. Acquisitions

On 31 December 2024, the Group acquired 100% of the ordinary shares for Mercedes-Benz Motorsport Limited.

The Company provides travel management services to the Group and due to its acquisition on 31 December 2024, none of the revenue and costs in the year are attributable to the Group.

Effect of acquisition

The acquisition had the following effect on the Group's assets and liabilities

There were no fair value adjustments on acquisition.

	Book value £000
Acquiree's net assets at the acquisition date	
Debtors	3,654
Cash at bank and in hand	693
Creditors	(1,969)
Net assets	2,378
Total consideration paid - cash	(2,511)
Amounts due to the Group reflecting final adjustments	111
Goodwill on acquisition	(22)

The expected useful life of goodwill stemming from this acquisition is 10 years.

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

16. Stocks

	Group 2024 £000	Group 2023 £000	Company 2024 £000	Company 2023 £000
Raw materials and consumables	4,561	4,534	4,561	4,534
Finished goods and goods for resale	361	375	361	375
	<u>4,922</u>	<u>4,909</u>	<u>4,922</u>	<u>4,909</u>

The difference between purchase price or production cost of stocks and their replacement cost is not material.

The carrying value of stocks are stated net of impairment losses totalling £323k (2023 - £867k Impairment losses totalling £nil (2023 - £nil) were recognised in profit and loss.

17. Debtors

	Group 2024 £000	Group 2023 £000	Company 2024 £000	Company 2023 £000
Due after more than one year				
Amounts owed by group undertakings	-	-	20,605	17,827
Other debtors	2,371	-	2,371	-
	<u>2,371</u>	<u>-</u>	<u>22,976</u>	<u>17,827</u>

The balance owed by Group undertakings is an intercompany loan. This has repayment terms including a minimum repayable balance each year which is disclosed as a current debtor. The interest rate applied is aligned to the base rate applicable in the UK.

	Group 2024 £000	Group 2023 £000	Company 2024 £000	Company 2023 £000
Due within one year				
Trade debtors	102,541	159,062	102,459	159,062
Amounts owed by group undertakings	-	-	801	750
Other debtors	29,406	21,590	28,609	21,292
Prepayments and accrued income	54,039	39,258	57,995	43,545
	<u>185,986</u>	<u>219,910</u>	<u>189,864</u>	<u>224,649</u>

Prepayments and accrued income Company balances include transactions between group companies of £4,749k (2023: £4,291k).

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

18. Cash and cash equivalents

	Group 2024 £000	<i>Group 2023 £000</i>	Company 2024 £000	<i>Company 2023 £000</i>
Cash at bank and in hand	52,613	23,719	51,838	22,789
	<u>52,613</u>	<u>23,719</u>	<u>51,838</u>	<u>22,789</u>

19. Creditors: Amounts falling due within one year

	Group 2024 £000	<i>Group 2023 £000</i>	Company 2024 £000	<i>Company 2023 £000</i>
Trade creditors	23,088	16,659	22,072	16,619
Amounts owed to group undertakings	-	-	562	-
Corporation tax	24,204	16,929	24,042	16,792
Other taxation and social security	4,185	9,858	4,150	9,858
Other creditors	155	4,435	-	4,290
Accruals and deferred income	155,296	175,304	156,208	175,039
	<u>206,928</u>	<u>223,185</u>	<u>207,034</u>	<u>222,598</u>

Accruals and deferred income Company balances include transactions between group companies of £1,987k (2023: £106k).

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

20. Financial instruments

	Group 2024 £000	<i>Group 2023 £000</i>	Company 2024 £000	<i>Company 2023 £000</i>
Financial assets				
Trade and other debtors	188,357	219,910	212,840	242,476
Investments in ordinary shares	-	-	19,800	17,400
Cash and cash equivalents	52,613	23,719	51,838	22,789
	<u>240,970</u>	<u>243,629</u>	<u>284,478</u>	<u>282,665</u>
Financial liabilities				
Trade and other liabilities	206,928	223,185	207,034	222,598

Trade and other debtors / creditors

Trade and other creditors are recognised initially at transaction price less attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors.

Interest-bearing borrowings classified as basic financial instruments

Interest-bearing borrowings are initially recognised at transaction price and subsequently measured at amortised cost using the effective interest rate method.

Investments in preference and ordinary shares

Investments in equity instruments are measured initially at fair value, which is normally the transaction price. Transaction costs are excluded if the investments are subsequently measured at fair value through profit and loss. Subsequent to initial recognition, investments that can be measured reliably are measured at fair value with changes recognised in profit or loss. Other investments are measured at cost less impairment.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the cash flow statement only.

In the year the Group extended the term of the £35,000k revolving credit facility by a further 12 months, with the facility term now ending on 21 December 2027. At 31 December 2024 the full facility remained undrawn. A commitment fee of 0.3% is charged on the undrawn amount.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

21. Deferred taxation

Group

2024
£000

At beginning of year	(6,207)
Charged to profit or loss	32
At end of year	(6,175)

Company

2024
£000

At beginning of year	(6,207)
Charged to profit or loss	61
At end of year	(6,146)

	Group 2024 £000	<i>Group</i> <i>2023</i> <i>£000</i>	Company 2024 £000	<i>Company</i> <i>2023</i> <i>£000</i>
Accelerated capital allowances	(6,759)	(7,218)	(6,729)	(7,218)
Other - timing differences	584	1,011	583	1,011
	(6,175)	(6,207)	(6,146)	(6,207)

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

22. Provisions

Group and Company

	Property provision £000	Other provision £000	Total £000
At 1 January 2024	772	3,230	4,002
Charged to profit or loss	-	4,109	4,109
Utilised in year	-	(5,114)	(5,114)
At 31 December 2024	<u>772</u>	<u>2,225</u>	<u>2,997</u>

Property provision

This relates to an estimate for dilapidations and reinstatement costs in relation to the current leasehold properties, which are estimated to crystallise over the lease term.

Other provisions

These costs include payments payable in regards to termination clauses for contractual liabilities and other legal costs.

All of the Group's provisions are held in the Parent Company.

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

23. Share capital

	2024 £	2023 £
Allotted, called up and fully paid		
100 (2023 - 100) Ordinary shares of £2.0000 (2023 - £2.0000) each	200	200
35,000,000 (2023 - 35,000,000) Ordinary shares of £2.0000 (2023 - £2.0000) each	70,000,000	70,000,000
1,162,311 B1 Ordinary shares of £0.0100 each	11,623	-
	70,011,823	70,000,200

In 2024 a dividend was declared of £100.0m in respect of the year ended 31 December 2023 and was paid in March 2024 and April 2024 (2023: £75.0m in respect of year ended 31 December 2022).

During the financial year ended 31 December 2024, the Company issued 1,162,311 new B1 ordinary shares at a nominal value of £0.01 per share. The shares were issued for a total consideration of £11,623, resulting in an increase in the share capital and share premium of the Company.

24. Reserves

Share premium account

This reserve records the amount above the nominal value received for shares.

Revaluation reserve

This reserve includes the current and prior period revaluations on fixed assets.

Other reserves

This reserve includes amounts relating to share-based payments.

Profit and loss account

This reserve includes all the current and prior period retained profits and losses in addition to the share capital reduction movement.

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

25. Share-based payments

The Company operates two equity-settled share-based payment schemes for its employees, a growth scheme and a Share Options Scheme. The scheme is a Long-Term Incentive Plan ("LTIP") share option scheme. The Company granted £2,382k options as part of the scheme on 7th October 2024. All options are subject to both time vesting conditions and performance conditions. The performance conditions are not considered in the fair value at grant-date. These are assessed in the expense recognised in each relevant accounting period.

	Weighted average exercise price (pence) 2024	Number 2024
Granted during the year	205	1,162,311
Outstanding at the end of the year		<u>1,162,311</u>
		2024
Weighted average share price (pence)		325
Exercise price (pence)		<u>205</u>
		2024 £000
Share-based payment recognised in income statement		270
		<u>270</u>

At 31 December 2024, a balance of £2,371k (2023: £nil) was included within debtors relating to the LTIP share option scheme.

26. Capital commitments

At 31 December 2024 the Group and Company had capital commitments as follows:

	Group 2024 £000	Group 2023 £000	Company 2024 £000	Company 2023 £000
Contracted for but not provided in these financial statements	(6,738)	(5,468)	(3,426)	(5,400)
	<u>(6,738)</u>	<u>(5,468)</u>	<u>(3,426)</u>	<u>(5,400)</u>

MERCEDES-BENZ GRAND PRIX LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

27. Commitments under operating leases

At 31 December 2024 the Group and the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	Group 2024 £000	Group 2023 £000	Company 2024 £000	Company 2023 £000
Not later than 1 year	15,575	16,293	18,063	18,462
Later than 1 year and not later than 5 years	1,906	2,176	5,833	7,437
Later than 5 years	357	737	357	737
	<u>17,838</u>	<u>19,206</u>	<u>24,253</u>	<u>26,636</u>

During the year £18,597k was recognised as an expense in the Group profit and loss account in respect of operating leases (2023: £17,271k)

During the year £21,016k was recognised as an expense in the Company profit and loss account in respect of operating leases (2023: £19,505k)

28. Amounts receivable under operating leases

At 31 December 2024 the Group had future lease payments receivable under non-cancellable operating leases as follows:

	2024 £000	2023 £000
Within one year	15,711	7,674
Within two and five years	26,295	7,917
After five years	-	-
	<u>42,006</u>	<u>15,591</u>

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024**

29. Related party transactions

During the year the company undertook the related party transactions as listed below:

	Sales 2024	Purchases	Sales 2023	Purchases
	£000	2024	£000	2023
		£000		£000
Mercedes-Benz Group AG	-	-	-	1
Mercedes-Benz AG	28	15,270	26	15,770
Mercedes-Benz Cars UK Limited	49	43	26	62
Mercedes-Benz Australia / Pacific Pty Limited	-	168	-	255
Mercedes-Benz AMG High Performance Powertrains Limited	12,164	5,167	9,628	3,326
Mercedes-AMG GmbH	1,068	2,693	3,860	4,545
Mercedes-Benz France	6	-	-	-
Mercedes-Benz Österreich GmbH	-	27	-	18
Mercedes-Benz Japan Co Ltd	-	128	-	-
Mercedes-Benz España S.A	-	1	-	-
Mercedes-Benz Canada	13	-	12	-
Mercedes-Benz USA	-	173	-	205
Mercedes-Benz Mexico	1	-	1	-
Mercedes-Benz Financial Services	-	820	-	728
Mercedes-Benz Insurance Services UK Limited	-	1,330	-	1,098
Mercedes-Benz Italia SPA	3	-	-	-
Mercedes-Benz Heritage GmbH	-	14	-	-
Mercedes-Benz Motorsport	191	16,213	290	24,490
INEOS Automotive Limited	3	-	22	-
Mercedes-Benz Research and Development	-	186	-	91
INEOS Racing Limited	53,171	-	50,000	-
INEOS Hygienics Limited	-	-	-	52
Motorsports Invest Limited	347	-	362	-
Next March GmbH	-	60	-	74
Athena Racing	499	-	14,300	-
Mercedes-Benz Malaysia SND BHD	2	-	-	3
	67,545	42,293	78,527	50,718

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	Amounts owed to Group 2024 £000	Amounts owed from Group 2024 £000	Amounts owed to Group 2023 £000	Amounts owed from Group 2023 £000
Mercedes-Benz Group AG	4	-	-	-
Mercedes-Benz AG	14	-	-	27
Mercedes-Benz Cars UK Limited	45	65	31	21
Mercedes-Benz Australia/Pacific Pty Limited	-	126	-	-
Mercedes-Benz AMG High Performance Powertrains Limited	3,636	1,057	1,466	1,799
Mercedes-AMG GmbH	850	1,839	32	1,006
Mercedes-Benz Customer Solutions	-	-	-	109
Mercedes-Benz Österreich GmbH	-	4	2	-
Mercedes-Benz Canada	-	-	12	-
Mercedes-Benz Japan Co Ltd	-	15	-	-
Mercedes-Benz Financial Services	1	38	-	55
Mercedes-Benz Insurance Services UK Limited	-	1	-	-
Mercedes-Benz USA	-	50	-	48
Mercedes-Benz Mexico	2	-	1	-
Mercedes-Benz Espana S.A	1	-	-	-
Mercedes-Benz Heritage GmbH	-	14	-	-
Mercedes-Benz Italia SPA	3	-	-	-
Mercedes-Benz Singapore PTE Ltd	-	22	-	-
Mercedes-Benz Motorsport	-	-	297	5,090
INEOS Automotive Limited	-	-	6	-
INEOS Racing Limited	-	-	32,340	-
Motorsports Invest Limited	-	-	435	-
Next March GmbH	-	4	-	-
Athena Racing	-	-	27	-
	<u>4,556</u>	<u>3,235</u>	<u>34,649</u>	<u>8,155</u>

The above are all related parties by virtue of being fellow companies of the shareholders of the Group. The transactions are all at arms' length and relate to the provision of goods and services between the parties associated with the company's principal activity.

Sales and purchases with Mercedes-Benz Motorsports Limited have been included in related party transactions as a result of the entity being acquired on 31 December 2024 however balances owed to and from the company have been excluded as it was considered part of the group at the reporting date.

Total compensation of key management personnel including the directors in the year amounted to £12,815k (2023: £14,415k).

MERCEDES-BENZ GRAND PRIX LIMITED

**NOTES TO THE FINANCIAL STATEMENTS
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30. Post balance sheet events

In 2025, Mercedes-Benz Grand Prix Estates Limited entered into a contract for the construction of two new buildings on the Brackley campus. The entity has also entered into a new operating lease post year end for a commercial property. The term of this lease is 10 years, with the option for a 5 year break clause.